and electric vehicles. And, as mentioned earlier, by 2020 China had already established 5G wireless networks across the country.

At the Nineteenth CPC Congress in 2019, Xi Jinping also called for China to deploy ‘world-class’ armed forces. Maritime power has been an area of major focus. We can witness a shift away from the Anti-Access/ Area Denial strategy – adopted before the 2009 period – and towards developing and deploying a blue-water navy with significant power projection capability. China’s first anti-aircraft carrier was commissioned in 2012. This was an old hull acquired from the Ukraine but refitted in China. Since then, two more carriers have been commissioned, both built in China. It is expected that a fourth such vessel will join the fleet soon. China acquired its first foreign base in Djibouti on the African coast in 2017 and has organized a Chinese Marine Corps, now numbering 30,000, for external operations. Under the BRI, China has acquired or developed a string of ports, not only on the Indian Ocean littoral but farther afield in Europe. The key port of Piraeus in Greece is now Chinese owned and operated. While these are mainly commercial ports, they could be put to military use.

The country continues to invest heavily in developing new, high-tech weapons. Recently, it successfully tested a hypersonic glide weapon. According to US sources, China is steadily adding to its nuclear weapons armoury, with a plan to reach 1,000 weapons in the next decade. It is estimated that China currently possesses about 400 nuclear weapons. This would significantly narrow the gap with the US and Russia, which hold over 3,000 weapons each.

China acknowledges that despite its strengths in various domains, it is the US which still dominates the world’s financial markets and it is the US dollar that remains the world’s premier and most sought-after currency. It has tried to internationalize its own currency, the renminbi (RMB), but its reluctance to embrace full convertibility and allow market-determined currency rates has meant that this internationalization has made limited progress. China is a pioneer in developing a sovereign digital currency, which it believes could promote the international usage of its currency without the volatility typical of currency markets. The digital RMB is